

Module 14

Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The following table draws a comparison of the Enterprise Treasury Centre ("ETC") tax incentive in Country S and the Qualifying Corporate Treasury Centre ("QCTC") tax regime in Hong Kong:

Attribute	ETC tax incentive	QCTC tax regime
Tax rate (Note 1)	Upon successful application, interest income from lending to approved network companies is subject to corporate income tax at 8% and is valid for 5 years renewable. The application and pre-approval process will give certainty to taxpayer on tax treatments for the valid period as long as the conditions are met.	Upon written election, interest income from qualifying lending transactions with non-Hong Kong associated corporations is subject to profits tax at 8.25% without time limit unless s.14D(1) of the Inland Revenue Ordinance ("IRO") no longer applies in which the half-rate will cease to be effective. The validity of the preferential tax rate is subject to review by the Inland Revenue Department ("IRD") at any time, and the taxpayer has to discharge the onus of proof otherwise the tax benefits may be revoked. There is an uncertainty factor here.
Interest expense (Note 2)	Deductible and no withholding tax for interest payment to overseas recipient.	Deductible with anti-avoidance provisions consideration, no withholding tax for interest payment to overseas recipient.
Annual minimum local spending (Note 3)	US\$1m	Other than the central management and control ("CMAC") and substantial activity requirement, there is no such specific requirement.
Minimum local hiring of professional (Note 3)	4 ETC professionals	Other than the CMAC and substantial activity requirement, there is no such specific requirement.
Compliance requirements (Note 4)	Internal control and procedures and annual audit	Other than the CMAC and substantial activity requirement, there is no such specific requirement.

Note 1 – The half rate of 8.25% under the QCTC tax regime is available to a QCTC if it meets the central management and control requirement, the substantial activity requirement and has made the election in writing. Other than the election in writing requirement, there is no formal application and pre-approval requirement. There is also no re-negotiation and renewal procedure.

Whilst the case did not provide further definition of "interest income from lending to approved network companies", from a literal interpretation of these words, one would expect there is no restriction on lending to local related company. Under the QCTC tax regime there is clear definition for "qualifying lending transaction" meaning lending to non-Hong Kong associated corporation in the ordinary course of intra-group financing business.

Note 2 – s.16(2)(g) of the IRO allows deduction of interest expense paid by a corporate borrower carrying on an intra-group financing business in Hong Kong to a non-Hong Kong associated corporation under specific conditions. There is no withholding tax for interest payment to overseas in Hong Kong, and this has been the case before and after the QCTC tax regime is in place.

Whilst the case did not indicate any anti-avoidance measures to go along with the ETC incentive, there are various anti-avoidance provisions in the QCTC tax regime to counter-act tax avoidance and abusive application of s.16(2)(g) for interest deduction.

Note 3 – Under the QCTC regime, there are no specific minimum requirements on local spending and headcount. Nonetheless, the central management and control requirement and substantial activity requirement under s.14D of the IRO imply the QCTC must have qualified and skillful personnel based in Hong Kong to exercise and execute the day-to-day responsibility on strategic, financial and operation policy decision-making and performance of the corporate treasury transactions or functions. In effect the QCTC must demonstrate that its profit-generating activities that produces the qualifying profits are conducted in Hong Kong. To fulfil these requirements, one would expect a reasonable level of local spending and headcount must be in place, and these will be subject to assessment on a case-by-case basis.

Note 4 – The specific internal control and procedures and annual audit requirements under the ETC incentive may partly remedy the (possible) lack of any anti-avoidance measures, whereas under the QCTC tax regime there is no such requirements though the taxpayer is encouraged to safely keep evidence and documentation to substantiate its compliance status and be able to discharge the onus of proof in case the IRD challenge the taxpayer's entitlement to the half-rate regime.

Answer 1(b)

	H Ltd US\$	S Ltd US\$
Interest income (intra-group and bank)	9,500,000	9,500,000
Expense:		
Salary and office expense	(1,000,000)	(2,000,000)
Bank interest expense and charges	(200,000)	(200,000)
Interest expense to participating subsidiaries and shareholder	<u>(7,000,000)</u>	<u>(7,000,000)</u>
Profit before tax	1,300,000	300,000
Corporate income tax @8.25% / 8%	<u>(107,250)</u>	<u>(24,000)</u>
Profit after tax	<u>1,192,750</u>	<u>276,000</u>

Answer 1(c)

Although the corporate income tax liability after the relocation is higher, one should realise that this is mainly due to the higher amount of taxable profit as a result of the lower operating costs (as there is no minimum spending requirement for the QCTC tax regime).

If we combine the financial impact of the much higher local spending requirement after ETC incentive renewal, it is quite obvious that the relocation has resulted in a much better off financial position of the intra-group financing business, as indicated in the much higher profit after tax figures above.

For the other 3 business issues identified in the case, they can be analysed as follow:

- i) Needless to say, the much higher annual minimum local spending will seriously erode the profit of the intra-group financing business and put a heavy financial burden on the business over the next 5 years, there is also non-compliance risk and possible revocation of the tax incentive should S Limited fail to meet this requirement anytime during the 5-year period.

Even if this requirement can be met, management should bear in mind that whether added local business costs will create additional value to the business (as indicated by the current excess work capacity situation). If not, the renewal will just create inefficiency for F Group.

Also the issue of increasing local spending commitment will arise again when the ETC incentive is due for renewal after 5 years, and there is no guarantee that required increment will not be even higher.

This issue is not applicable to H Limited because there is no minimum local spending and renewal requirements under the QCTC tax regime.

- ii) The high rent for residential units would probably increase the staff benefit costs if S Limited is to hire expatriates who need housing support.

On the other hand, salary for local hired staff may also increase because they will have a higher expectation for pay rise due to higher living costs.

These added costs very likely will not result in higher productivity or valuation creation to the business so again this is an issue of operating efficiency.

This issue may be equally applicable to H Limited because the problem of high living cost and residential unit rent have been with us for quite some time.

- iii) The stringent talent immigration policy and tight employment market in Country S likely poses a challenge to S Limited in fulfilling its increasing headcount requirement.

If this is compromised by hiring less capable and skilful ETC professionals, one would question the service quality and compliance status of S Limited.

This may further lead to higher rate of transaction error and non-compliance resulting in transaction loss or even penalty.

Whilst this issue may be equally applicable to Hong Kong, with the HK Government becoming more active and aggressive in hunting for overseas talents these days, together with the wider talent pool in Mainland China this issue may be of a less concern in the long run.

To sum up, the business relocation to Hong Kong can avoid the unnecessary increase in operating cost, which may not give rise to additional value to the business but is more likely to lower the operational efficiency.

The more lenient QCTC tax regime has placed less burden on H Limited in terms of financial leverage and compliance.

The issues of higher rental and stringent talent immigration policy in Country S may be of a less concern to F Group as Hong Kong also experienced similar problems.

Comparatively speaking, one may consider the QCTC tax regime in Hong Kong is more favourable than the ETC tax incentive in Country S at least in the present form, and thus the business relocation is justifiable.

Answer 2(a)

For a loan that is a simple loan of money where a company is using its own funds for lending, the provision of credit test applies where the key concern for the source and taxation of the interest income is the location where the funds from which the interest is derived were provided to the borrower.

However, the planned business of H Limited is intra-group financing involving borrowing and lending of money frequently and actively plus other value-added activities mentioned above conducted by a team of executives and professionals based in Hong Kong. As such, the interest income from such business is not from a simple loan of money and therefore provision of credit test is not applicable in this situation.

Rather, the operation test is relevant in determining the source of the interest income from an intra-group financing business, as indicated in the case CIR v Orion Caribbean Ltd.

To apply the operation test on interest income, the principle is "one look to see what the taxpayer has done to earn the profit in question and where he has done it".

The various business processes mentioned in the case are the key components of H Limited's intra-group financing business that generates the interest income in question, under the operation test they should have a bearing in determining the source of the interest income.

Regardless of the location of the borrower and where it received the loan money, evaluation of the locale of these business processes based on the totality of fact approach will likely suggest H Limited's intra-group financing business is largely a Hong Kong operation, under the operation test the interest income generated therefrom should have a Hong Kong source and hence is taxable.

Further s.15(1)(ia) of the IRO provides that sums received by or accrued to a corporation by way of interest that arises through or from the carrying on in Hong Kong by the corporation of its intra-group financing business, even if the moneys in respect of which the interest is received or accrues are made available outside Hong Kong, are assessable to profits tax.

As H Limited is a corporation and will be carrying on an intra-group financing business in Hong Kong through its team of executives and professionals based in Hong Kong, the above provision of the IRO has clearly negated the application of provision of credit test and will ensure its interest income from such business is taxable.

Answer 2(b)

For interest expense on borrowing for working capital incurred by a company, the primary provision in the IRO that governs the tax deduction is s.16(1) of the IRO, where the interest expense should be incurred in the production of chargeable profits.

S.16(1)(a) of the IRO further provides that the tax deduction is subject to the satisfaction of the condition under s.16(2), and subject to subsections (2A), (2B) and (2C).

The interest expense is incurred by H Limited for loan borrowed from F Limited to finance its intra-group financing business and it does not own any capital assets and investments. Therefore, the interest expense is revenue in nature and incurred in the production of H Limited's taxable interest income as analysed in the answer to question 2(a) above, s.16(1)(a) of the IRO is satisfied.

For deduction of interest expense, further assessment has to be made to ascertain which conditions specified in s.16(2) of the IRO are satisfied.

As the recipient of the interest expense (i.e. F Limited) is not a financial institution, s.16(2)(d) of the IRO is not applicable. Also the recipient is not carrying on a business in Hong Kong and hence the interest income is not subject to Hong Kong profits tax, s.16(2)(c) of the IRO is not applicable either.

Under s.16(2)(g) of the IRO, subject to satisfaction of the specific conditions, interest payable on money borrowed from a non-Hong Kong associated corporation by a corporate borrower carrying on an intra-group financing business in Hong Kong is tax deductible.

There is no doubt that H Limited is a corporation carrying on an intra-group financing business in Hong Kong. Therefore, the question then comes down to whether the specific conditions set out in s.16(2)(g)(i) to s.16(2)(g)(iii) of the IRO are satisfied, these are analysed as follow:

- S.16(2)(g)(i) The interest expense is paid to F Limited in the ordinary course of H Limited's intra-group financing business, F Limited is the 100% parent company not carrying on a business in Hong Kong, hence qualifies as a non-Hong Kong associated corporation.
- S.16(2)(g)(ii) F Limited as the lender is subject to corporate income tax in Country F on its interest income at a rate over 20%, which is not lower than the reference rate of 16.5%.
- S.16(2)(g)(iii) F Limited is the beneficial owner of the interest income and there is no contractual or legal obligation to pass that interest income to any other person.

All of the above conditions are satisfied.

There is no information in the case that indicates the s.16(2A), s.16(2B), s.16(2C), s.16(2CA) and s.16(2CC) operate to deny the interest deduction.

The interest expense concerned should be tax deductible to H Limited.

Answer 3(a)

i. Before-tax interest payment amount:

$\text{US\$}500,000 / (100\% - 7\%) = \text{US\$}537,634.$

ii. Withholding tax amount:

$\text{US\$}537,634 \times 7\% = \text{US\$}37,634.$

iii. Interest margin:

$\text{Interest income net of withholding tax deducted} = \text{US\$}537,634 - \text{US\$}37,634 = \text{US\$}500,000.$

$\text{Interest margin} = \text{US\$}500,000 - \text{US\$}400,000 = \text{US\$}100,000.$

Answer 3(b)

The IRD has stated in its practice notes that a QCTC must follow the arm's length principle when determining the interest rates for its intra-group financing transactions.

The IRD further indicated that transfer pricing adjustment may be made if the lending rate or borrowing rate of a QCTC is unreasonably low or high respectively.

Based on the description of the mode of operation of H Limited's intra-group financing business, it is possible that the business is similar to a physical cash pooling arrangement. The general principle is to ensure H Limited, taking the role of either a coordinator/ service provider or in-house bank, is adequately remunerated based on its function performed, assets employed and risks assumed.

- If H Limited is operated more like a pure service provider with limited credit risk assumed then its function is more likely coordinative and administrative in nature and itself can be characterized as a service provider. On this basis a cost-plus transfer pricing method may be applicable.
- If H Limited is actively involved in treasury (interest rate, foreign exchange, tenor, liquidity, etc.) and credit risks management, it can be characterized as a lender or in-house bank. On this basis the comparable uncontrolled price method can be chosen as the appropriate method to determine the arm's length interest spread.

Answer 4(a)

Below are the proposed professional work procedures for assisting H Limited in applying for an advance ruling with the IRD:

- Meeting with the management to define the scope in particular the tax treatment on a specific transaction of which a ruling is sought from the IRD.
- Meeting with the operation team to understand the business operation, transaction documents, process flow, approval ladder, etc.
- Discussion with management about the findings from the above meetings and assessment of whether a favourable ruling can be obtained (tax engagement may stop at this point if the chance of getting a favourable ruling is less likely).
- Preparation and submission of advance ruling application, and post submission follow-up until final completion of the application (with ruling issued or declined).
- Work products include:
 - Completed application form.
 - Application letter with explanation of the issues in question, full description of the facts, citation and analysis of relevant tax laws and case laws, and stating the proposition of law that relates to the issue.
 - Attachments to application letter including supporting documents and legal or other opinions sought.
 - Draft ruling to be endorsed by the Commissioner of the Inland Revenue ("CIR").

Answer 4(b)

In preparing the service proposal for the tax engagement pursuit, the firm should observe the requirements outlined in s.600 "Ethics in Tax Practice" of Chapter C "Additional Ethical Requirements" in the Code of Ethics for Professional Accountants (Revised Nov 2018) published by the Hong Kong Institute of Certified Public Accountants.

With reference to the nature of the proposed tax engagement and the special request from the client, the following issues are relevant and should be brought up to the attention of the engagement partner for discussion before discussion with the client:

- We should ensure the client is aware of the limitations of tax service, and that they understand that the advance ruling prepared by the firm is not beyond challenge.

Our role is to prepare the application in accordance with the requirements and expectations from the IRD, with correct citation and interpretation of tax laws and case laws.

We are prepared to support our position but the client should take note that the granting of ruling is at the discretion of the CIR.

We cannot guarantee success of the application.

- It is generally acceptable for us to rely on information provided by the client if the information appears reasonable.

However since this is an advance ruling application, operational and transactional information is likely based on expected future operation and transaction mode (as business has likely not commenced yet by the time of application), therefore there is a possibility that the client is overly aggressive by providing misleading or even false information to us in order to increase the chance of getting a favourable ruling.

The IRD is expecting the applicant to disclose all relevant information (not selectively) known to her/ him, and drawing to the CIR's attention all the crucial issues and questions of the arrangement.

With this in mind, we should be cautious and be prepared to review/ cross-check the information provided by the client to make sure it is comprehensive and reasonable, and the client is capable to carry out the business/ transaction as envisaged.

If the CIR is of the view that the application is frivolous or vexatious, she/ he can decline to give a ruling.

- The fee structure proposed by the client is unusual and suspicious, it also jeopardizes our role as an independent tax advisor, leading to the impression that our objectivity may be impaired if we accept this fee structure.

From a quality and risk management perspective, we should decline this request and be prepared to terminate other existing engagements should the client come back with further unusual requests and reactions that may indicate the client has integrity issue.

* * * END OF SECTION A * * *

SECTION B – WRITTEN QUESTIONS (Total: 50 marks)

Answer 5

To: Keith <abc@efg.com>

From: Leo <pqr@stu.com>

Date: XXX

Subject: Tax advice on PILON, Sum Q and your objection lodged with the IRD

Dear Keith,

Thank you for engaging me to provide tax advice on the subject matters. I would set out the advice on PILON, Sum Q and your objection in turn for consideration.

PILON

Pursuant to s.12(1)(a) of the IRO, in ascertaining the net assessable income of a person for any year of assessment, there shall be deducted from the assessable income of that person all outgoings and expenses, other than expenses of a domestic or private nature and capital expenditure, wholly, exclusively and necessarily incurred in the production of the assessable income.

As you settled the PILON on the last day of employment as per Hotel P's written request, it is clear that you incurred the PILON in the year of assessment 2022/23.

The phrase "wholly and exclusively" concerns the purpose of the expense, i.e. the PILON. You may argue that the PILON was paid to enable you to leave Hotel P as soon as possible and join Hotel Q. However, for expenses to be deductible under s.12(1)(a), they should be directly referable to the taxpayer's employment duty, but not those relating to his personal contractual obligations (CIR v Franco Tong Sui Lun). Indeed, you were liable to pay the PILON to Hotel P because you failed to serve sufficient notice period (i.e. 3 months) for termination of employment. It was your personal contractual obligations under the employment contract with Hotel P to make the PILON, which was not directly referable to your employment duty in either Hotel P or Hotel Q.

Regarding the "necessarily" requirement, the fundamental question is whether the expenditure is so essential to the degree that it would be impossible for the taxpayer to perform the employment duties without incurring that expenditure. If the expenditure is not one that each and every employee of the particular post is necessarily obliged to incur in the performance of duties, but is incurred due to an individual employee's circumstances or personal choice, then the expenditure would not fulfil the "necessarily" requirement (Ricketts v Colquhoun). Again, the PILON was incurred by you due to your personal circumstances, and obviously not every employee who is employed by Hotel Q as Chief Operation Officer has to incur the same.

We should also consider what constitutes "incurred in the production of the assessable income". From decided cases, it should mean expenses incurred in the course of doing the work or discharging the employment duties. It does not include those expenses incurred to qualify the taxpayer to perform the employment duties, or keeping him qualified to perform them (CIR v Humphrey; CIR v Robert P Burns; Nolder v Walters; Humbles v Brooks). As discussed, the PILON

may be arguably incurred to enable you to join Hotel Q earlier. It was clearly not incurred during your performance of employment duties for Hotel P nor Hotel Q.

As the PILON did not fulfil the requirements of "wholly, exclusively and necessarily incurred in the production of the assessable income", it is not deductible under Salaries Tax. In fact, the above conclusion is supported by the court judgment in CIR v Sin Chun Wah, the point at issue of which was also the deductibility of payment in lieu of notice.

Sum Q

You also argued that Sum Q, being a compensation from Hotel Q for the PILON, should not be assessable to Salaries Tax.

S.9(1)(a) of the IRO provides that income from any office or employment includes any wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite, or allowance, whether derived from the employer or others.

Perquisite, as a kind of income from employment per s.9(1)(a), includes not only money which is actually paid to an employee, but also money which is paid in discharge of a debt of the employee (David Hardy Glynn v CIR). Further, on the authority of Fuchs v CIR, income from employment includes payments made as an inducement to enter into employment and provide future services.

By paying Sum Q to you, Hotel Q in effect discharged your personal debt to Hotel P, i.e. the PILON. Also, Sum Q was made to you on the condition that you should be employed by Hotel Q for at least 6 months. In other words, Sum Q was an inducement for you to provide future services. Therefore, Sum Q should be chargeable to Salaries Tax.

Objection

In view of the above, you may appreciate that your objection would likely be rejected by the IRD.

If you insist on the objection, the CIR would, by virtue of s.64(4) of the IRO, issue to you her/ his written determination of your objection, notifying that your objection is rejected with the reasons therefor and a statement of the facts upon which the determination was arrived at.

If you still wish to pursue the case further, you can appeal to the Board of Review ("BOR") against the CIR's determination. Pursuant to s.66(1) of the IRO, the notice of appeal must be in writing and given to the clerk to the BOR within 1 month after the transmission of the CIR's determination, and is accompanied by a copy of the CIR's determination.

The pros of appealing to the BOR include:

- The Chairman of the hearing panel has legal background. You can thus have your case adjudicated by a legal professional.
- The BOR hearing is not open to the public. Its decisions are also anonymized. Your personal details would not be disclosed.
- You can attend the hearing and present your case by yourself. Legal or tax professional representative is not mandatory, which limits your cost.
- The BOR hearing is less formal than a court hearing, lowering the hurdles for layman taxpayers to pursue their cases.
- Each party before the BOR bears its own costs, unlike the case in court where the unsuccessful litigant usually pays the legal costs of both parties.

The cons of appealing to the BOR include:

- Where the BOR does not reduce or annul the assessment and finds that the appeal is frivolous or vexatious, it may, at its sole discretion, order the appellant to pay as costs of the BOR a sum not exceeding HK\$25,000.
- BOR's decisions are persuasive and should be followed by the IRD. If the BOR gives a decision unfavorable to the taxpayer, it may have adverse effect on other taxpayers with similar situations.

I hope the above is helpful to you. Please feel free to contact me if you need further assistance.

Best regards,
Leo

Answer 6(a)

Average yearly rent = $[(\text{HK\$}40,000 \times 17) + \text{HK\$}42,000 \times 18] \div 3 = \text{HK\$}478,700$
(rounded-up to the nearest HK\$100).

Stamp duty payable = $0.5\% \times \text{HK\$}478,700 = \text{HK\$}2,394$
(rounded-up to the nearest \$1) + HK\$5 = HK\$2,399.

Time limit for stamping the tenancy agreement is within 30 days after the date of execution. The commencement date of the agreement has no bearing on the time limit.

Depending on the length of stamping delay, the corresponding penalties are as follows:

- Delay not exceeding 1 month: 2 times the amount of stamp duty.
- Delay exceeding 1 month but not exceeding 2 months: 4 times the amount of stamp duty.
- Any other case: 10 times the amount of stamp duty.

Answer 6(b)

Mama's Bakery Profits tax computation Year of assessment 2021/22		
	HK\$	HK\$
Profits before tax		432,850
Add: Medical Expenses (Note 1)		75,294
Add:		
Salary to Hazel (\$20,000 × 12)	240,000	
Salary to Iris (\$18,000 × 12)	216,000	456,000
Less:		
Commercial building allowance (\$150,000 ÷ 25) (Note 2)		6,000
Depreciation allowances of the motor vehicle (Note 3)		98,631
Assessable Profits		859,513

Explanatory notes:

1. Medical Expenses

S.16(1) of the IRO provides that in ascertaining the profits in respect of which a person is chargeable to Profits Tax for any year of assessment there shall be deducted all outgoings and expenses to the extent to which they are incurred during the basis period for that year of assessment by such person in the production of profits in respect of which she/ he is chargeable to Profits Tax for any period.

S.17(1)(a) of the IRO stipulates that for the purpose of ascertaining profits in respect of which a person is chargeable to Profits Tax, no deduction shall be allowed in respect of domestic or private expenses. S.17(2)(d)(i) of the IRO also provides that no deduction is allowable for, in the case of a partnership, salaries or other remuneration of a partner or a partner's spouse.

In *Anthony Patrick Fahy trading as A.P. Fahy & Co. v CIR*, the court decided that if an outgoing or expense had a dual purpose, partly of a domestic or private nature and partly for business purpose, it was not allowable to the extent that the outgoing or expense was a domestic or private character. The court also ruled that there could not be any sensible apportionment of medical expenses if those elements of the purpose could not be distinguished and the expense was one indivisible matter.

In the Bakery's case, the Medical Expenses were primarily Hazel's medical treatments expenses of private nature and for her own benefits. Even though the medical treatments may help bring Hazel back to a healthy state and facilitate her provision of services to the Bakery, there could not be any sensible apportionment of the Medical Expenses, as the dual purposes could not be distinguished. Therefore, it is not deductible under s.16(1) and 17(1)(a).

Also, the Medical Expenses can be considered as an allowance to Hazel, and is debarred from deduction under s.17(2)(d)(i).

2. Renovation costs of the Premises

S.33A(1) of the IRO provides that where any person is, at the end of the basis period for any year of assessment, entitled to an interest in a building or structure which is a commercial building or structure and where that interest is the relevant interest in relation to the capital expenditure incurred on the construction of that building or structure, an allowance commonly known as commercial building allowance ("CBA"), at 4% of the expenditure, shall be made to the person for that year of assessment.

The renovation costs incurred on the Premises (an additional shop premises of the Bakery since the year of assessment 2021/22) were capital expenditure incurred which should normally be deductible by way of CBA at 4% of the costs each year under s.33A(1).

It should be noted that the accelerated deduction under s.16F is not applicable to the renovation costs of the Premises. This is because the costs were incurred to enable the Premises to be first used substantially by the Bakery in the year of assessment 2021/22 (as distinguished from the existing shop which had been in use all along). S.16F(4)(b) debarred the accelerated deduction as such.

3. Depreciation allowances of the motor vehicle

	30% pool H.P. HK\$	Allowances HK\$
Cost	250,000	
Less: I.A. ($\$25,000 + \$37,294 - \$6,029$) $\times$ 60%	(33,759)	33,759
	216,241	
Less: A.A.	(64,872)	64,872
W.D.V. c/f	151,369	98,631

Answer 6(c)

Mama's Bakery Statement of allocation of profit/ loss Year of assessment 2021/22

Basis period: 1 January 2021 to 31 December 2021

	<u>Total</u> HK\$	<u>Hazel</u> HK\$	<u>Iris</u> HK\$	<u>MBL</u> HK\$
Salary	456,000	240,000	216,000	-
Medical Expenses	75,294	75,294	-	-
Balance	328,219	147,699	147,699	32,821
Total	859,513	462,993	363,699	32,821
Profits tax payable @7.5%		34,724	27,277	
Profits tax payable @8.25%				2,707

Answer 7(a)

Under s.51(4)(a) of the IRO, for the purposes of obtaining full information in regard to any matter which may affect any liability, responsibility or obligation of any person under the IRO, an assessor or an inspector may give notice in writing to any person whom he considers may be in possession or control of information or documents in regard to any such matter as aforesaid, requiring her/ him within such reasonable time as is stated in the notice, and in the form and manner specified in it, to furnish all information in her/ his possession or control respecting any such matter.

To ascertain the tax liability of the landlord of the Company's office premises, the IRD needs, for example, details of the rent paid to the landlord. Apart from the landlord itself, such information should also be in the possession or control of the Company, being the tenant of the premises. As such, the IRD could issue the Letter by virtue of s.51(4)(a) to obtain the requisite information.

If the Company fails to comply with the requirements of the Letter, i.e. a notice given under s.51(4)(a), it may be subject to the consequences as provided under s.51(4B), which include a penalty at level 3 (i.e. HK\$10,000) or a lesser amount decided by the court, or a compound penalty imposed by the CIR, as well as a court order to do the act which the Company has failed to do.

Answer 7(b)

S.33(1) of the IRO provides that a dependent parent allowance ("DPA") shall not be given to more than one person in any year of assessment in respect of the same parent. S.33(3) further provides that, where a DPA has been granted to 2 or more persons in respect of the same parent, or granted to a person and, within 6 months of such allowance being granted, another person appears to the CIR to be eligible to be granted that allowance in respect of the same parent, the CIR shall invite the persons to whom the allowance has been granted and any other individual who appears to the CIR to be eligible to be granted the allowance to agree which of them is to have the allowance and the CIR may in consequence of such agreement, or if the individuals do not so agree within a reasonable time, within the period specified in s.60, raise additional assessments under that section.

As the IRD realized that Yoyo and her brother-in-law were both eligible to claim DPA in respect of the Dependant, the IRD thus sought for the DPA Agreement between Yoyo and the brother-in-law under s.33. If Yoyo fails to give a reply or no DPA Agreement could be reached, the IRD would issue additional assessment to Yoyo to withdraw the DPA previously granted under s.60.

Answer 7(c)

S.54 of the IRO provides that the executor of a deceased person shall be chargeable with the tax for all periods prior to the date of such person's death with which the said person would be chargeable if she/ he were alive, and shall be liable to do all such acts, matters or things as the deceased person if she/ he were alive would be liable to do under the IRO.

Yoyo's tax obligations as the executor of the late mother's estate include:

- Submit tax returns to report the rental income of the deceased's property, before and after the date of death.
- Supply information as required by the IRD.
- Settle tax bills in respect of the rental income of the deceased's property.

Answer 7(d)

Under s.41(1), an individual who is of or above the age of 18 years, and either ordinarily resident in Hong Kong or a temporary resident, may elect for personal assessment ("PA") on the individual's total income.

While Yoyo could elect for PA on her late mother's total income as if her mother were alive, the eligibility to elect for PA depends on the mother's circumstances, not Yoyo's.

From the case facts, Yoyo's mother had been living in Fujian Province since 2010. It appears that she was neither ordinarily resident in Hong Kong nor a temporary resident during the year of assessment 2022/23. In such a case, Yoyo should not elect for PA on behalf of her mother. Otherwise, Yoyo may be at risk of furnishing an incorrect tax return or information relating to the tax liabilities of her late mother which may result in an undercharge of tax. Yoyo would then be personally liable to the penalty so imposed.

* * * END OF EXAMINATION PAPER * * *